Middle East Weekly Review

October 19 to October 25, 2026

- **Week in brief:** The Houthi war on Saudi Arabia reached Riyadh's defense ministry, Dammam airport, Yanbu and Abha and forced Aramco to evacuate its Dhahran headquarters, Brent settled at $116.72, up about 6.2% on the week and the highest settle since April 29, KOSPI swung through two 3.5% to 3.7% daily falls and ended the week 2.1% lower, and Washington's public signals shifted from "no strikes before the midterms" to a US envoy saying a strike could come this weekend.

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1. The Week's Arc

The week began with Brent at $109.55 on October 19 and Iran's seven point plan (Hormuz reopens on day six, talks on day seven) unanswered by Washington. Oil drifted near $109 until Wednesday. The break came on Thursday and Friday, when the Houthis claimed four strikes in 48 hours on the Riyadh defense ministry, Dammam's King Fahd airport, an Aramco site at Yanbu and Abha airport, two people died at Dammam, and Reuters reported that Aramco ordered its Dhahran headquarters evacuated. Last week's structural story was a widening front; this week's is that the front reached the core of Saudi administration and aviation.

Washington's posture moved without a decision. The week opened with Trump's pledge of no strikes before November 3 intact and the FT reporting that he blocked an Israeli strike campaign. By Friday Trump said the US is not negotiating and that "something will happen soon," the NYT reported plans for a short intensive campaign after the midterms, and on Saturday ambassador Tom Barrack said a strike could come as soon as this weekend while the WSJ reported the USS George Washington rearming with bunker busters. Iran answered by barring US warships from the Gulf, claiming mine hits on loaded supertankers, and leaking plans to cut Gulf undersea cables. The US ordered non-emergency staff to leave Saudi Arabia during the week, and Etihad cancelled Riyadh and Dammam flights through November 5. Diplomacy is thin: Saudi Arabia, Pakistan, Egypt and Turkey are meeting European ministers in Istanbul, and Pezeshkian meets Putin on October 27.

In Korea, KOSPI fell 3.73% on October 20, rebounded 3.3% on October 21, fell 3.52% on October 22 after the Bank of Korea held at 3.00% while signaling a hike, and recovered 0.3% on October 23 after a 4.12% intraday plunge. The government's response remains monitoring; the Saudi level 3 departure recommendation from October 11 stands.

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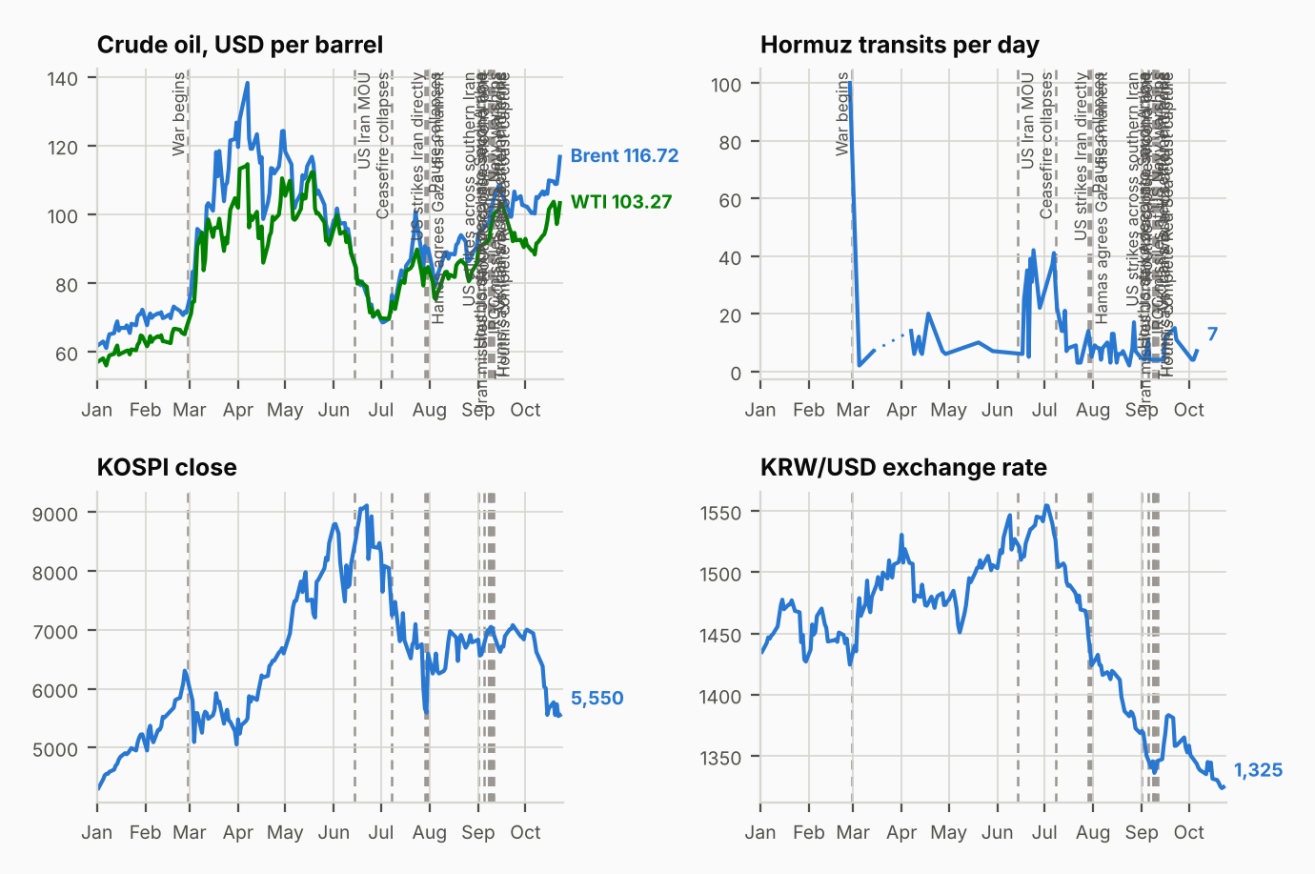
2. Indicator Scoreboard

21 indicators were opened this week (IND-20261019-1 through IND-20261025-3). 49 were resolved: **8 confirmed**, **7 falsified** and **34 expired**, of which 29 were stale rows (deadlines through October 14) expired in a cleanup on October 25 without individual re-verification, as the October 18 weekly recommended. Confirmed include IND-20261009-1 (no US strike through October 23), IND-20261015-3 and IND-20261022-3 (Brent highs) and IND-20261019-3; falsified include IND-20261016-2 (no KOSPI close below 5,300) and IND-20261011-1 (no US part in strikes on the Houthis). **26 indicators remain open**, none more than a few weeks past deadline except IND-20260714-4 (Ras Laffan loadings, no deadline) and IND-20260910-3 (Trump's "war ends after the election," deadline November 17).

Calibration note: Price-level calls on KOSPI (no close below 5,300) were again too bearish while oil-level calls were right; “continued violence” tests keep resolving as confirmed. The cleanup shows the cost of open-ended diplomatic indicators: of 29 stale rows, almost none ever got a resolving report, so future diplomatic indicators should carry a closer deadline or a named source.

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3. Data Trends



Brent settled at $109.55 (Oct 19), $108.79 (Oct 20) and $108.82 (Oct 21), then rose to $116.72 on Oct 23 (Reuters; the Thursday settle was not recorded in the series), a gain of about 6.2% over the $109.86 settle of Oct 16. WTI settled at $103.66 (expiring November contract), $101.79, $97.15 (December) and $103.27, up about 1.8% over $101.41, so the Brent-WTI spread widened from about $8.5 to about $13.5 as the Houthi front hit Saudi exports rather than US supply. KOSPI closed at 5,768.01, 5,552.74, 5,736.00, 5,533.77 and 5,550.30, about 2.1% below the 5,668.05 close of Oct 16, with intraday range now larger than the weekly net change. The won ranged between 1,323.7 and 1,330.3 per dollar, ending at 1,324.6, firmer than a week earlier (1,331.4). Hormuz: no exact daily count was found; MUFG said flows were near pre-conflict levels while Kpler’s 7 day average of 8.5 million bpd cited earlier in the week implied otherwise, and the conflict is unresolved.

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4. Slow Threads

- **Qatar’s Ras Laffan LNG loadings (IND-20260714-4):** still no fresh weekly figure.
- **Saudi East-West pipeline throughput (IND-20260923-1):** no new estimate; deadline November 3, and Yanbu attacks make it more important.

- **Pickaxe Mountain (IND-20261017-1) and post-midterm planning (IND-20261023-3):** the pledge runs to November 3, the strike tests to November 4 and 6.
- **Egypt's vote on defending Saudi Arabia (IND-20261020-2):** repeatedly postponed; now expected October 26.
- **Korea's Hormuz deployment and Saudi advisory (IND-20261022-1):** no government statement found.

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5. Revisions and Lessons

No material correction to `instructions/korea-exposure.md` was needed. The October 24 brief's intraday Brent and WTI figures were corrected in the October 25 daily (settles $116.72 and $103.27), and its "highest since May 4" became April 29. Lessons: a Saturday run should always fetch the Friday settle first, since the October 24 brief's Friday-morning window missed it again despite last week's lesson; a Dhahran evacuation that two regional outlets reported without attribution was a wire story one day later, so unattributed Gulf reports of Aramco decisions deserve Medium confidence rather than Low; and the ledger cleanup, which should not need repeating, requires shorter deadlines on diplomatic indicators.